

Explaining support for the AfD in hard times: Energy prices, climate policy, and the challenge of far-right populism

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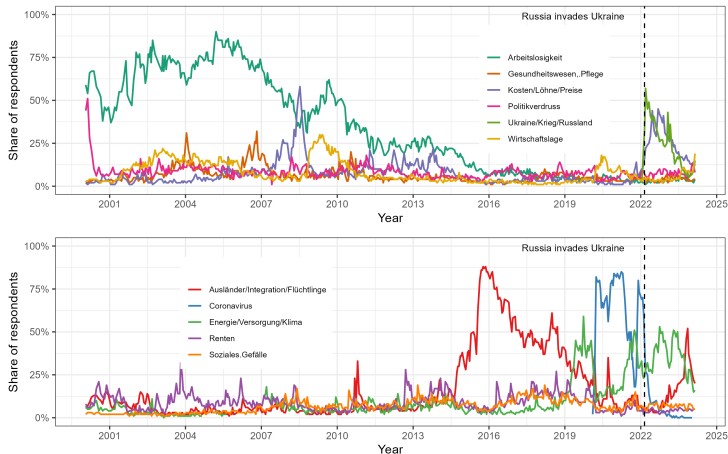
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Motivation and research questions

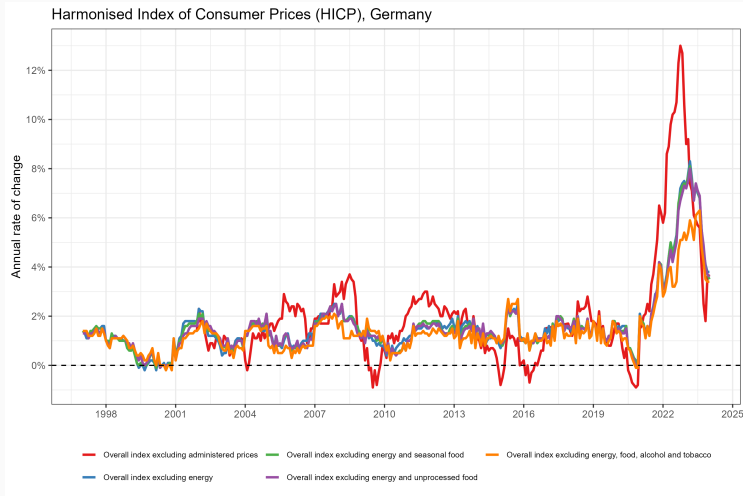
The Russian invasion catapulted the cost of living to the top of the agenda

What is the most important problem in Germany currently?



Data source: Forschungsgruppe Wahlen

... and this was for good reason



Data source: Eurostat (prc_hicp_manr)

The price shock coincided with an increase in AfD support

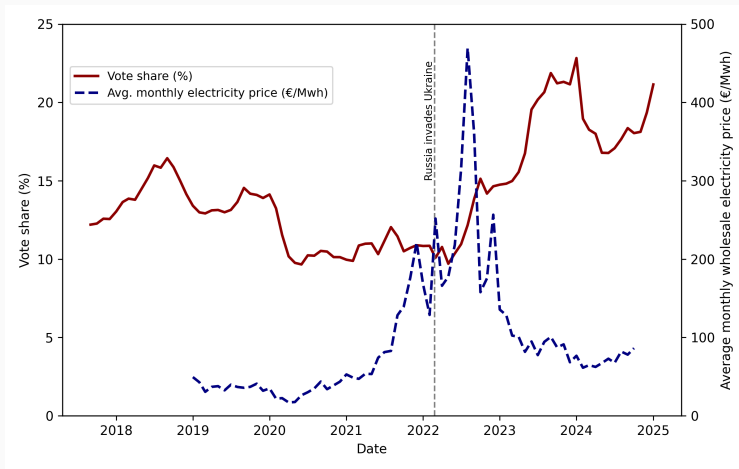


Figure 3: AfD polling and wholesale electricity prices, 2017 to 2025

Research questions

1. What is the effect of the energy crisis on political attitudes and AfD support?
 - Increase in support for the AfD among people who do not think they benefit from financial relief measures
 - Increase in anti-liberal-democracy attitudes, especially among those who believe that the government wastes the bulk of its tax revenue
2. What are the political attitudes of new AfD voters?
 - New AfD voters exhibit stronger xenophobic attitudes and support for Russia as well as lower support for climate policies

Literature and theoretical intuitions

Vast literature on political responses to economic shocks

Margalit (2019): Attitudes change more than behaviour (i.e. voting); self-interest matters, but only for a subset of people; pre-existing ideology moderates responses to economic shocks; effects of price shocks tend to be transient

Typically, economic insecurity arguments related to populism suffer from the problem that it remains unclear why those adversely affected would turn to the radical right, given the latter's lacklustre support for redistribution (Rodrik, 2018; Papaioannou and Guriev, 2024).

In our case, this objection has much less bite. The AfD was the only politically viable party during our period of analysis that clearly opposed the gas embargo, which was one of the *proximate cause* of the energy price shock → clear spatial rationale for turning to the AfD, especially for those who discount compensatory promises or believe the government to be wasteful

Empirical Analysis and Results

Methods in a nutshell: Data

Original panel data with 4 survey waves, from Jan 2023 to Feb 2024 ($N = 8335$) that includes:

- Self-reported data on electricity and heating bills
- Attitudes toward liberal democracy
- Xenophobic attitudes
- Attitudes toward redistribution
- Attitudes toward climate policies
- Attitudes toward the Russia-Ukraine war

We estimate the effect of rising energy costs using D-i-D.

Methods in a nutshell: Estimation – Design

Identification: We estimate the causal effect of increased electricity installment payments on political attitudes using a staggered Difference-in-Differences (DiD) approach with continuous treatment intensity.

Design features:

- Exploits idiosyncrasies of the German energy billing system (yearly bills with monthly *Abschlagszahlungen*).
- Quasi-experimental variation in treatment timing and intensity across households.

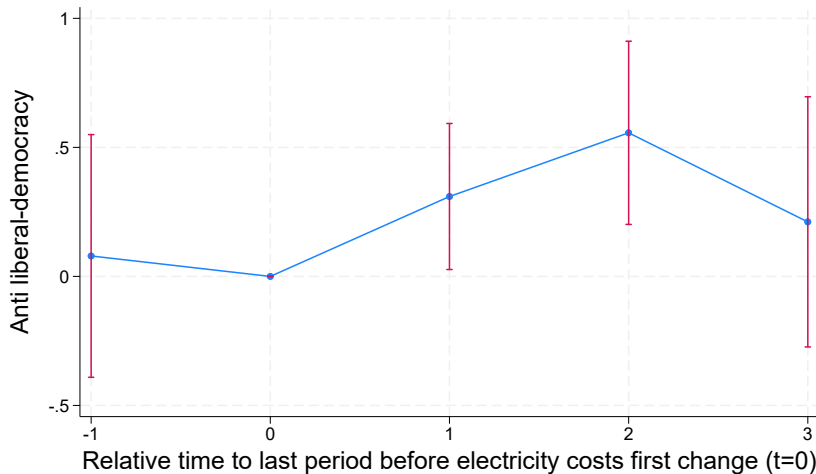
Method:

- Estimator: `did_multiplegt_dyn` (De Chaisemartin et al., 2022; De Chaisemartin and d'Haultfoeuille, 2024; Baker et al., 2025); Estimates dynamic and heterogeneous treatment effects.

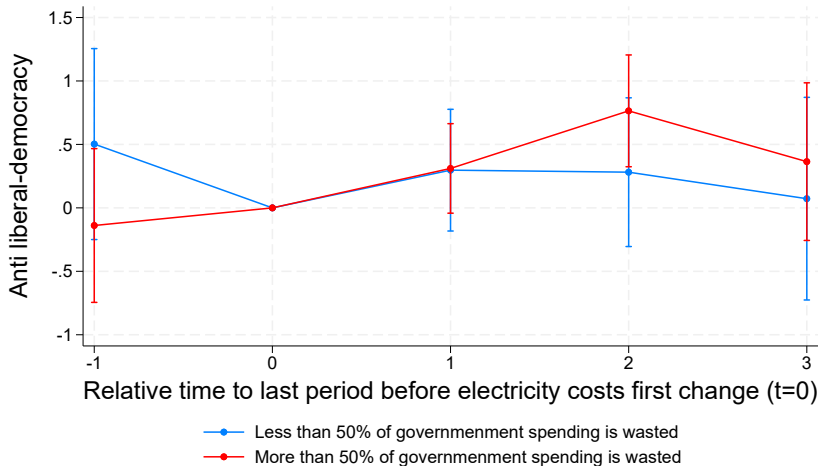
Identification assumptions:

- **Random sampling:** Panel is representative of the German population.
- **Parallel trends and no anticipation:** Validated via placebo tests.
- **Exogeneity of treatment:** Driven by supply-side shocks and supplier-level variation.

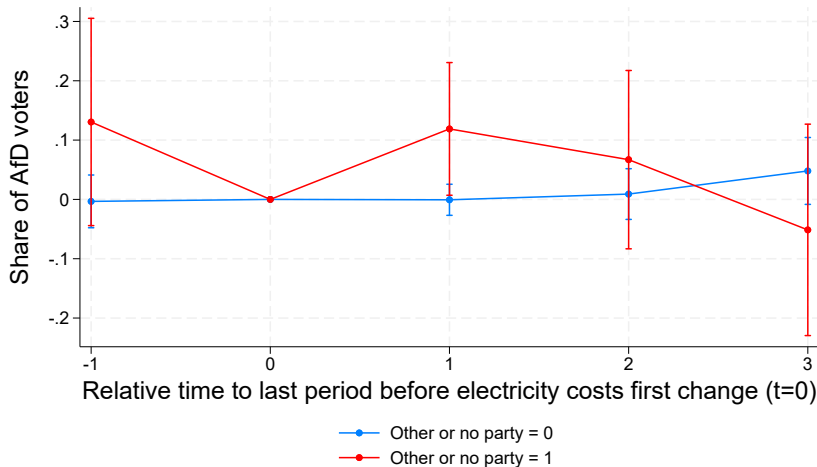
Increased installment payments for electricity led to lower (attitudinal) support for liberal democracy ...



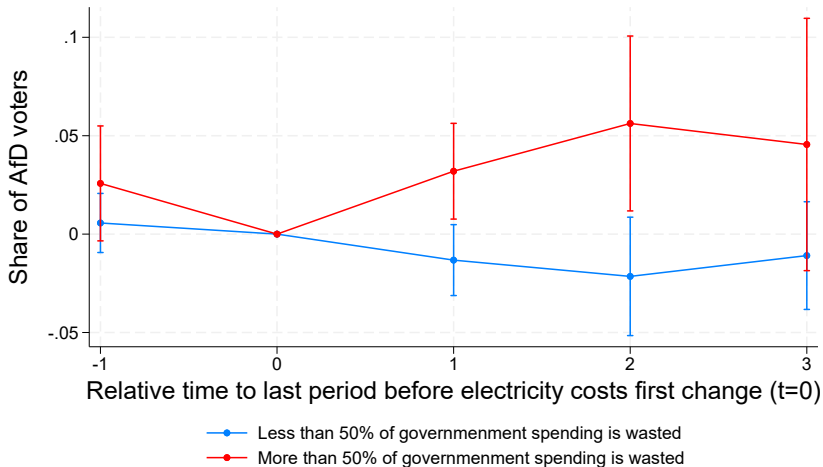
... especially among those who think that the bulk of tax revenue is wasted,



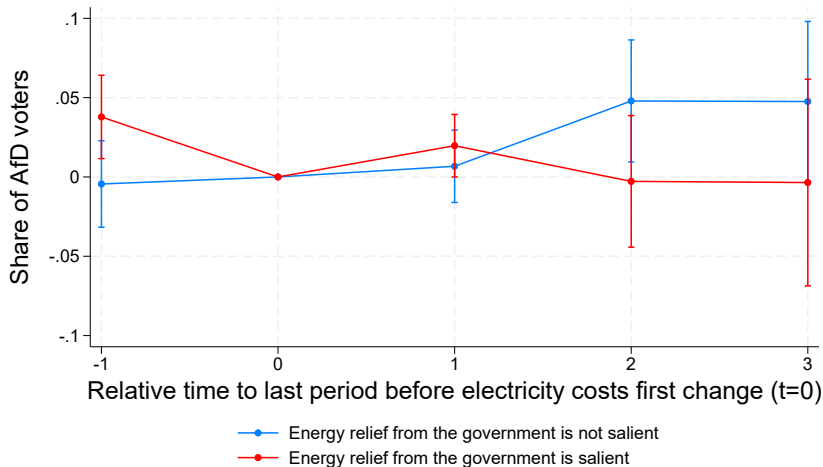
The energy price shock also led to an immediate 10 pp increase in AfD support among people without prior partisan affiliation.



A doubling in electricity costs led to a 5 pp increase in AfD support among people who think the government wastes more than half of its tax revenue



Similarly, people who declare not having received energy-bill relief funds from the government are more likely to support the AfD



Within-respondent results: Correlation between AfD support and indices

Dependent Variables: Model:	Pro redistribution (1) OLS	Pro climate (2) OLS	Xenophobia (3) OLS	Support for Russia (4) OLS	Anti democracy (5) OLS
<i>Variables</i>					
AfD dummy	-0.066 (0.256)	-0.536*** (0.147)	0.863*** (0.229)	1.076*** (0.204)	0.133 (0.155)
Respondent FE	x	x	x	x	x
Adequate healthcare	x	x	x	x	x
Trust public broadcast	x	x	x	x	x
Perceived gov't waste	x	x	x	x	x
<i>Fit statistics</i>					
Observations	8,006	8,037	8,104	8,056	8,123
R ²	0.725	0.898	0.909	0.909	0.843

Clustered (Respondent FE) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

Outlook and conclusion

Outlook: A behavioural interpretation of the reduced-form findings

Increases in the cost of living, especially energy prices, lead people who believe the government to be wasteful to turn to the AfD (causal evidence from our D-i-D).

People joining the AfD are likely to move their political preferences in the direction of those defended by the AfD, in particular with respect to Russia/Ukraine and climate-related topics (correlations in within-individual changes, and motivated by Callander and Carbajal (2022)).

Because these people change part of their political preferences after joining the AfD, it makes them more likely to remain AfD voters, even if their living conditions subsequently improve.

Key takeaways

- Energy price shocks increase anti-liberal and xenophobic attitudes.
- People who think they do not benefit from government spending are more likely to support the AfD after having experienced an increase in energy costs.
- New AfD voters also became relatively more opposed to climate action, more xenophobic, and more supportive of Russia/less supportive of Ukraine.
- They also exhibit decreasing trust in institutions and increasing unhappiness with the government's policy priorities.
- If our behavioural interpretation is correct, then there are also substantial indirect costs of failing to roll out salient compensation swiftly.

References

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